

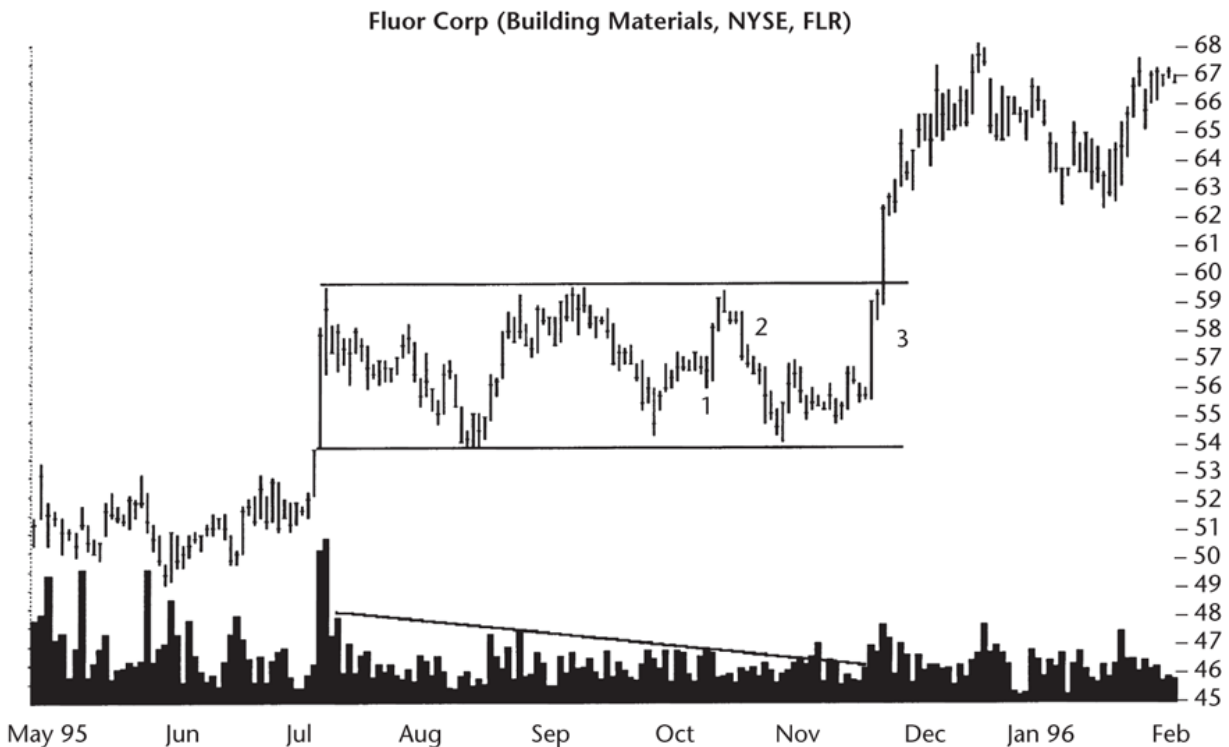


Figure 52.2 A rectangle top with a receding volume trend. Although most rectangles exhibit receding volume, do not automatically exclude those with rising volume. Three profitable trading opportunities are marked where price crosses from one side of the rectangle to the other.

Focus on Failures

Of the nearly 1,700 rectangles I reviewed, about 20% fail. [Figure 52.3](#) shows an example of a failure.

The rectangle shows an upward price trend climbing into the pattern even if you ignore the undershoot of about 2 weeks before the start of the rectangle. The stock moves sideways, bumping up against overhead resistance in two minor high touches and underlying support with three minor low touches.

Two trendlines connecting peaks and valleys show a horizontal price trend. The rectangle is a valid chart pattern in this example.

Price breaks out of the rectangle at 35.63 and reaches a new high of 37. However, it stalls in mid-April before turning around and throwing back to the top trendline. Once price settles on a new direction, it heads down at a good clip. The brief climb represents a 4% price rise above the top